INTERIM TAX PROVISION WORKPAPER — Q1 AND Q2 2025

Manufacturer Inc. • Manufacturing Division • Tax Provision File

Workpaper Reference	TP-MFG-2025-Q2
Period Covered	January 1, 2025 through June 30, 2025
Prepared By	J. Halloran, Divisional Controller (separated from the company May 16, 2025)
Date Prepared	July 10, 2025
Reviewed By	Not performed — review sign-off outstanding
Basis of Preparation	Standing book/tax conformity election, Manufacturing Division

Purpose

This workpaper supports the tax depreciation and equipment lease deductions claimed in the divisional interim tax provisions for the first and second quarters of 2025. Amounts are taken from the divisional general ledger for the periods indicated and agreed to the fixed asset subledger and the accounts payable equipment rental account.

Schedule 1 — Tax Depreciation and Lease Deductions by Asset

Asset	Description	Deduction Type	Q1 2025	Q2 2025	H1 Total
1001	Office Laptops (Batch 1)	Depreciation	2,500.00	2,500.00	5,000.00
1002	Custom Milling Machine	Depreciation	0.00	0.00	0.00
1003	Enterprise Server Rack	Equipment rental	3,000.00	3,000.00	6,000.00
1004	Warehouse Forklift	Depreciation	1,071.43	1,607.14	2,678.57
1005	Reception Desk	Depreciation	41.67	125.00	166.67
	Total depreciation deduction		3,613.10	4,232.14	7,845.24
	Total rental deduction		3,000.00	3,000.00	6,000.00
	Total deduction claimed		6,613.10	7,232.14	13,845.24

Preparer Notes

N1 — Basis. The division operates under a standing book/tax conformity election for owned equipment. Tax depreciation in this workpaper has been taken from the depreciation expense recorded in the general ledger for each period. No separate recovery schedules were prepared.

N2 — Asset 1002. No depreciation expense was recorded in the general ledger for the custom milling machine in any month of the first half. The useful life determination was held open pending closure of the engineering change order file. Consistent with N1, no deduction has been claimed for this asset in Q1 or Q2.

N3 — Asset 1003. The enterprise server rack is held under Master Lease Agreement 883 and was treated as an operating lease throughout the period. Monthly rentals of $1,000.00 have been deducted as paid. No depreciation has been claimed on this asset.

N4 — Assets 1004 and 1005. Deductions commence in the month each asset was placed in service, consistent with the general ledger postings.

N5 — Bonus depreciation. No bonus depreciation has been claimed on any 2025 addition.

Carry-Forward Instructions for the Q3 Preparer

The Q3 preparer should roll this schedule forward onto the Q3 provision schedule in the same format, carrying each asset line across so that the year-to-date column agrees to the sum of the quarterly columns.

The review sign-off on this workpaper was never obtained following the preparer's departure. The amounts above have not been independently agreed to policy.

Retained in the divisional tax provision file. Supersedes no prior workpaper.